Chapter 2

Problem analysis

Problem analysis is the process of understanding real world problems and user needs and proposing solutions to meet those needs.

A problem can be defined as the difference between things as ***perceived*** and things as ***desired.***

- **"What is" VS. " what should be "**
- **"What is given" VS. " what is needed"**

The goal of problem analysis is to gain a better understanding of the problem being solved before development begins.

The five steps in problem analysis

1. Gain agreement on the problem definition.
2. Understand the root causes: the problem behind the problem.
3. Identify the stakeholders and users.
4. Define the solution system boundary.
5. Identify the constraints to be imposed on the solution

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Step 1: Gain agreement on the problem definition.

One of the simplest ways to gain this agreement is to simply write the problem down and see whether everyone agrees.

Problem statement format:

Element	Description
The problem of ...	Describe the problem
Affects ...	Identify stakeholders affected by the problem
And results in ...	Describe the impact of this problem on stakeholders and business activity
Benefits of a solution ...	Indicate the proposed solution and list a few key benefits

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Step 2: Understand the root causes: the problem behind the problem.

- Root cause analysis is a systematic way of uncovering the root, or underlying, cause of an identified problem or a symptom of a problem.
- Example: a mail-order catalogue company addresses the problem of insufficient profitability
    - Cost of non-conformance: cost of waste produced.
    - Too much scrap.

Purpose of root cause analysis

- In a stressful work environment, we o en fix problems or symptoms of problems without regard to the actual causes– usually leading to the recurrence of the same or similar problems.
- Root cause analysis– on the other hand– is a structured and thorough analysis of the problem that will identify and verify the real cause(s) of the problem, such that when the problem is fixed, the problem will not recur.

Some definitions Related to root cause analysis

- Cause (or causal factor): A condition or event that results in a problem
- Direct cause: A cause that directly resulted in the occurrence of a problem
- Contributing cause: A cause that contributed to the occurrence, but by itself would not have caused the occurrence
- Proximate cause: The cause closest to, or immediately responsible for the problem
- Root cause: The cause that, if corrected„ would prevent recurrence of this and similar problems

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Step 3: Identify the Stakeholders and the Users

- ***Understanding the needs*** of the users and other stakeholders is a key factor in developing an effective solution.
- ***A stakeholder*** is anyone who could be materially affected by the implementation of a new system or application.
- The following questions can be helpful in identifying stakeholders
  - Who are the users of the system?
  - Who is the customer (economic buyer) for the system?
  - Who else will be affected by the outputs the system produces?
  - Who will evaluate and approve the system when it is delivered and deployed?
  - Are there any other internal or external users of the system whose needs must be addressed?
  - Who will maintain the new system?
  - Is there anyone else who cares?

Step4: Define the solution system boundary.

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- We divide the world in two:
  1. Our system
  2. Things that interact with our system



- System Boundary is an interface between the system and the environment or other systems.

What is a system?

Examples:

- Political system
- Educational system
- Computer system
- Library system

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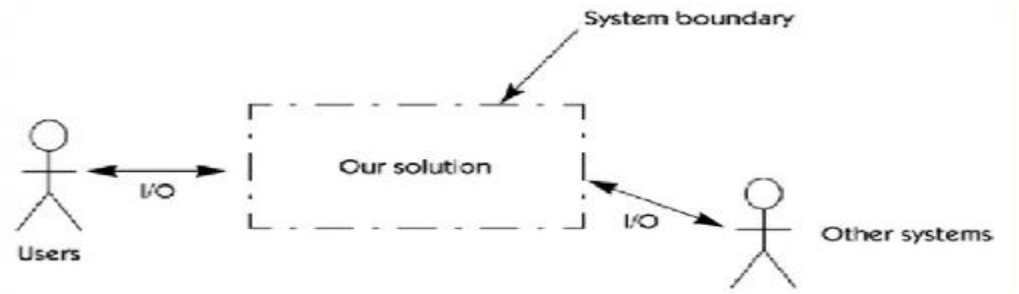
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System Main Characteristics

- Exists in an environment,
- With a boundary.
- Has inputs and outputs.
- Has interfaces for communications.
- May have sub-systems.
- Has a control mechanism,
- With feedback and feed-forward.

Actors

- An actor is someone or something outside the system that interacts with the system



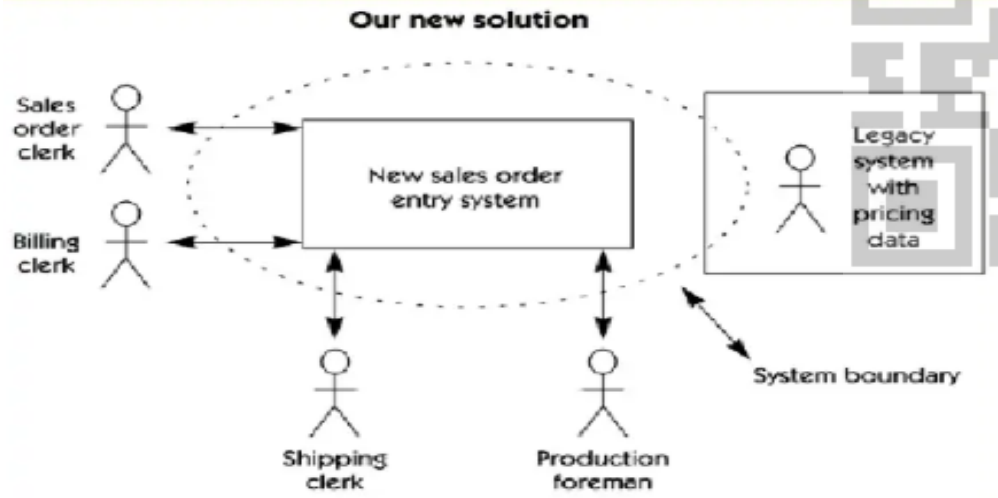
Identifying Actors: Helpful Questions

- Who will supply, use, or remove information from the system?
- Who will operate the system?
- Who will perform any system maintenance?
- Where will the system be used?
- Where does the system get its information?
- What other external systems will interact with the system?

These questions help to construct a system perspective

System Perspective

- It is a block diagram that describes the boundaries system, the users, and other interfaces



Step 5: Identify the Constraints to Be Imposed on the Solution

- ***A constraint*** is a restriction on the degree of freedom we have in providing a solution.
- A variety of sources of constraints must be considered.

Three Ways to Simplify Root Cause Discovery / Root Cause Analysis

- Root Cause Analysis (RCA) helps organizations identify and prevent recurring problems, but its complexity can be daunting. Simplifying RCA involves using structured methodologies like the Five Whys, leveraging technology for data analysis and collaboration, and fostering continuous improvement through training and a non-punitive environment. These approaches enhance problem-solving and innovation, turning challenges into opportunities for growth.
- Root Cause Analysis (RCA) is invaluable for organizations across various industries, from manufacturing and healthcare to IT and business management. At its core, RCA seeks to identify the fundamental causes of problems or failures, ensuring that they do not recur. However, RCA is often perceived as a daunting task due to its complexity and resource demands. This comprehensive blog explores three robust strategies to simplify root cause discovery and analysis, making it more accessible and effective for sustained organizational improvement.

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The Root Cause Analysis Process

IT teams typically perform root cause analysis (RCA) for critical incidents or unplanned outages using these three key phases:

1. Detection Phase

During this crucial first phase, the IT team becomes aware of and defines the problem. This involves:

- Identifying that an incident or outage has occurred, often through monitoring systems, user reports, or automated alerts
- Gathering initial information about the scope and impact of the issue
- Understanding which systems, services, or users are affected
- Documenting when the problem started and any immediately observable symptoms
- Creating an incident ticket to track the investigation
- Notifying relevant stakeholders based on the severity of the incident

2. Diagnosis Phase

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This investigative phase is where the team digs deep to understand the true source of the problem. The diagnosis process typically includes:

- Collecting detailed system logs, error messages, and performance metrics
- Analyzing data patterns and system behavior leading up to the incident
- Tracing the sequence of events that preceded the outage
- Interviewing relevant team members or users who first noticed the issue
- Creating a timeline of events to understand the incident's progression
- Using tools like log analyzers, monitoring systems, and debugging tools
- Testing hypotheses about potential causes in a controlled manner
- Identifying any contributing factors or conditions that led to the incident

3. Fix Phase

The final phase focuses on resolving the incident and preventing future occurrences:

- Developing and implementing an immediate solution to restore service
- Testing the fix to ensure it fully resolves the issue
- Documenting the resolution steps taken
- Creating a detailed post-mortem report of the incident
- Implementing preventive measures to avoid similar incidents
- Updating monitoring systems and alert thresholds as needed
- Revising relevant procedures or documentation based on lessons learned
- Conducting a review meeting with stakeholders to share findings
- Creating action items for long-term improvements

What makes this process particularly effective is its systematic approach to problem-solving. The team moves from identifying the immediate symptoms (Detection) through understanding the underlying causes (Diagnosis) to implementing both immediate and long-term solutions (Fix). Each phase builds upon the information and insights gained in the previous phase.

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3 Ways to Simplify and Streamline Root Cause Analysis Process

1. Adopt a Structured Methodology

One of the principal ways to simplify root cause discovery is by adopting a structured methodology. A well-defined framework provides a roadmap that guides individuals through the analysis process, ensuring consistency, thoroughness, and accuracy. Several established methodologies, each with its unique strengths, can be considered.

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Related Root Cause Analysis Resources

The Five Whys Technique

The Five Whys is a straightforward yet powerful tool grounded in lean principles. The technique involves persistently asking "Why?" until the root cause of a problem is uncovered. Here's a more detailed approach to effectively applying this technique:

1. ****Problem Statement**:** Clearly and concisely articulate the problem. The problem statement should be specific, measurable, and observable.
   Example: "The manufacturing line has frequent stoppages."
2. **First Why:** Ask, "Why did this problem happen?" Identify the immediate cause without jumping to conclusions.
   Example: "Why did the manufacturing line stop?" Answer: "The conveyor belt malfunctioned."
3. **Subsequent Whys:**Continue asking "Why?" for each answer provided. Delve deeper into each layer of cause, ensuring each "Why" digs deeper into the chain of events. Example: "Why did the conveyor belt malfunction?" Answer: "The motor overheated."
4. **Verify and Validate:**Once you believe you've reached the root cause, verify it by checking against available data, expert judgments, and additional test cases if necessary. Ask, "Why did the motor overheat?" Answer: "There was a lack of maintenance." Continues to "Why was there a lack of maintenance?" to finally, "Why was the maintenance schedule not followed?"

5. **Implement Corrective Actions:** Once the root cause is identified and confirmed, develop a clear action plan to prevent recurrence.
   Example: "Implement a robust, monitored maintenance schedule."
   By persistently asking "Why?" you can drill down through the symptoms to uncover the actual root cause. This iterative questioning method is incredibly effective for identifying the layers of causes that culminate in the observable issue.

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5 Whys: Worked Example

Why #	Question	Answer
1	Why did the machine stop?	The fuse blew due to an overload
2	Why was there an overload?	The bearing was not lubricated adequately
3	Why was the bearing not lubricated?	The lubrication pump was not working properly
4	Why was the pump not working?	The pump shaft was worn
5	Why was the shaft worn?	Sludge got in because there was no filter

Countermeasure: Install a filter on the pump shaft. **Not:** replace the fuse (symptom fix). The distinction matters enormously: the symptom fix costs £2 and 5 minutes; the root cause fix costs £20 and prevents months of recurring breakdowns.

When Does 5 Whys Work Best?

- ►The problem has a single, clear cause chain (linear causality)
- ►The team has direct knowledge of and access to the process
- ►Speed is important and a structured but lightweight tool is needed
- ►Used in combination with a Fishbone Diagram when multiple parallel causes are suspected

Common 5 Whys Mistakes

- ►**Stopping too early** — Accepting "human error" as a root cause. Human error is always a symptom; ask why the error was possible (training gap? unclear procedure? no error-proofing?)
- ►**Leading the witness** — Framing "Why" questions that imply the expected answer
- ►**Single-person analysis** — 5 Whys is most powerful with the people who work closest to the problem
- ►**No verification** — Confirming the root cause with data, not just logical reasoning

Fishbone Diagram Methodology (Ishikawa): A Complete Guide to Cause and Effect Analysis

What Is a Fishbone Diagram?

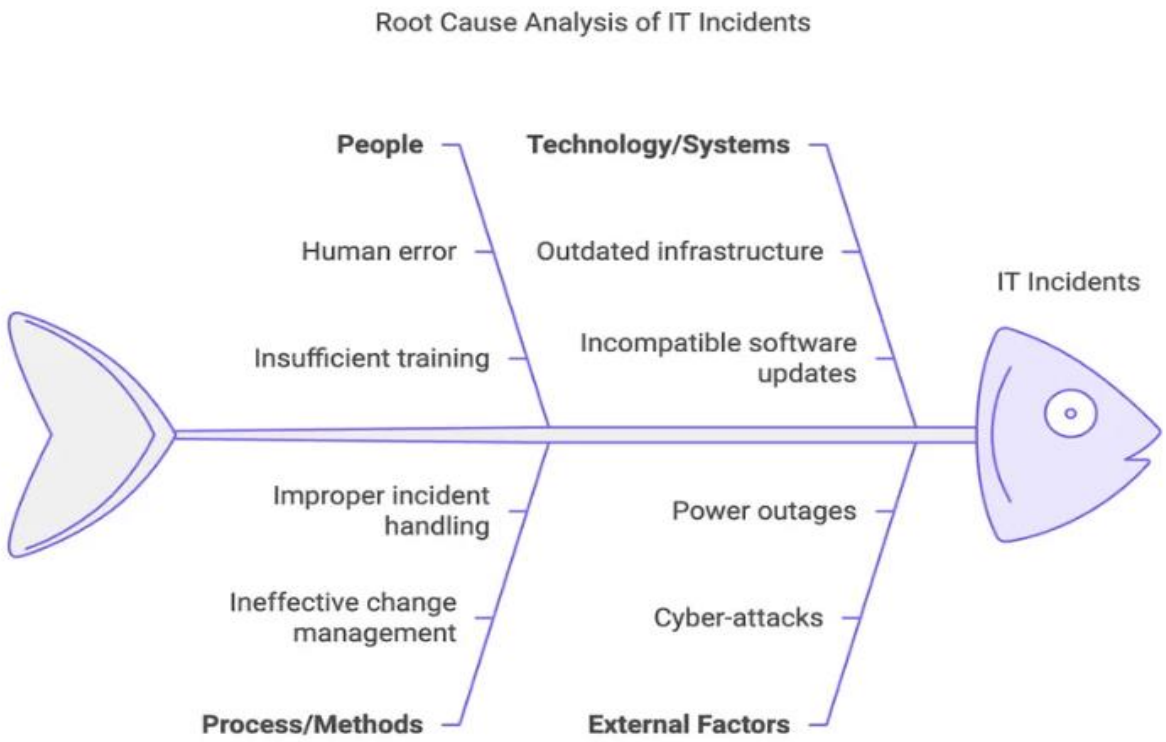
Fishbone Diagram

> A visual root cause analysis tool — also called an Ishikawa diagram (after its creator, Kaoru Ishikawa, 1968) or Cause and Effect diagram — that maps the potential causes of a specific problem or defect in a structured, categorised format. The diagram's appearance resembles a fish skeleton, with the "head" being the problem statement and the "bones" representing categories of causes and their sub-causes.

The Fishbone Diagram was developed as part of Ishikawa's quality management work at Kawasaki shipyards and became a cornerstone tool of TQM and Six Sigma. Its fundamental

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advantage over the 5 Whys is its ability to handle **multi-causal problems** — situations where multiple independent cause streams contribute simultaneously to an effect. When a problem has several parallel root causes rather than a single linear chain, the Fishbone provides the structure to capture and organise all of them.



Named after its inventor, the Fishbone Diagram helps visually map out various potential causes of a problem. It categorizes causes into major branches—typically people, processes, equipment, materials, environment, and management—and systematically explores their contributions.

1. **Draw the Fishbone:** Write the problem statement at the head of the diagram. The backbone leads to the main problem or effect.
   Example Problem Statement: "Frequent Product Defects."

2. **Identify Categories:** Draw major branches to represent different categories of potential causes—people, processes, equipment, materials, environment, and management. Example: "Each branch maps out specific aspects of the process contributing to defects."
3. **Brainstorm Causes:** Working through each major category, brainstorm all possible causes. Use brainstorming sessions with cross-functional teams to ensure a well-rounded perspective. Example: "Under 'Equipment,' list causes like 'old machinery,' 'lack of maintenance,' 'wrong settings. "
4. **Analyze and Verify:** Investigate each identified cause to confirm its contribution. Validate through data, expert consultations, and trials.
   Example: "Old Machinery" checks frequency of malfunctions, replacement cycles, maintenance logs."
5. **Prioritize and Address:** Rank the identified causes based on their impact and feasibility of corrective measures. Implement the changes systematically.
   This visual representation helps clarify complex problems and identify areas needing further investigation, particularly useful for tackling more intricate problems with multiple contributing factors[2]

What Are the 6M Categories in a Fishbone Diagram?

The most widely used framework for manufacturing and operations environments organises causes into six categories (the **6Ms**):

Category	Covers	Example Causes
Man (People)	Human factors	Training gaps, fatigue, skill level, communication

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Category	Covers	Example Causes
Machine	Equipment an technology	Maintenance, calibration, age, capability
Method	Process and procedures	Unclear SOPs, wrong sequence, missing steps
Material	Inputs and components	Supplier quality, specification, storage conditions
Measurement	Data and inspection	Gauge error, sampling method, inspection frequency
Mother Nature (Environment)	Physical environment	Temperature, humidity, lighting, noise

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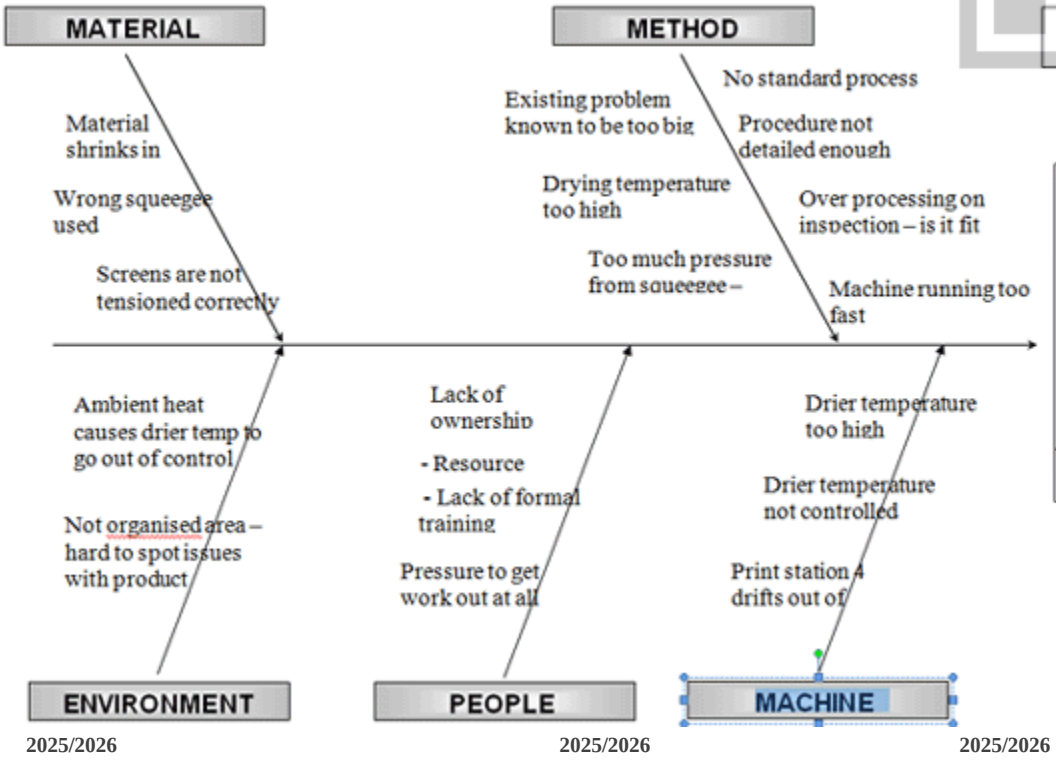
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For service or transactional processes, an alternative **4S framework** is used: Surroundings, Suppliers, Systems, Skills.

An example Fishbone Diagram

The group in the example below had a problem with excessive scrap. They then got a cross functional team together to understand possible reasons, listing each possible cause into categories.

The next step would be to pick the top three causes and delve deeper to find the true root causes.



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When to Use Fishbone vs 5 Whys

Use Fishbone When…	Use 5 Whys When…
Multiple potential cause streams exist	Single cause chain is suspected
Group brainstorming is needed	Speed is the priority
Causes span multiple categories (people, machine, method)	Team has deep process knowledge already

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You want to ensure no cause category is missed	You want to drill deep into one specific cause path

Combination approach: Use Fishbone to identify all potential cause categories, then apply 5 Whys within each branch to reach the true root cause. This hybrid approach is used in 8D problem solving and Six Sigma DMAIC projects.

2. Leverage Technology and Tools

Advancements in technology can tremendously simplify RCA by providing tools and systems that automate data collection, analysis, and visualization.

Data Analytics Platforms

Modern data analytics platforms can sift through vast amounts of data to uncover patterns and anomalies that may not be immediately apparent. These platforms offer real-time insights, making it easier to identify root causes. By harnessing the power of big data, organizations can make more informed decisions backed by empirical evidence rather than conjecture.

-**Automated Data Collection:**Use IoT devices and sensors to gather data in real-time, ensuring accuracy and comprehensiveness.

- **Anomaly Detection:**Incorporate machine learning algorithms to detect patterns and anomalies in vast datasets, ensuring no stone is left unturned.

-**Dashboards and Visualization:**Utilize advanced visualization tools to create intuitive dashboards that simplify data interpretation and highlight critical insights.

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Artificial Intelligence and Machine Learning

AI and ML algorithms, such as the ones leveraged in Accrete AI's platforms, can predict potential causes based on historical data and trends. These technologies can analyze numerous variables and data points, making RCA faster and more precise.

- **Predictive Modeling:** Develop models that predict potential issues before they occur, based on past trends and real-time data. Read Accrete's E-book on an Introduction to Pre-Change AIOps to learn how predictive modeling for IT Change management helps to prevent unplanned downtime.

- **Adaptive Learning:**Use machine learning to adjust and refine algorithms continuously, improving the accuracy and reliability over time and use.

-**Root Cause Prediction:** AI can sift through historical incident logs and current data to suggest probable root causes, reducing the manual burden.

Predictive analytics, for example, can anticipate failures before they occur, reducing downtime and identifying underlying issues proactively. Machine learning can continually adapt and improve its predictions as more data is fed into the system, enhancing the sophistication and accuracy of root cause identification over time.

Collaborative Tools

Collaborative tools facilitate communication and ensure that all stakeholders are engaged in the RCA process. Real-time communication and shared documentation ensure that information flows seamlessly, avoiding miscommunication and ensuring a unified approach.

- **Real-Time Collaboration:** Use project management tools and platforms (e.g., Asana, Trello) to foster real-time collaboration among team members.

-**Shared Documentation:**Cloud-based document sharing tools ensure all team members can access, edit, and update RCA findings and plans seamlessly.

- **Integrated Communication:** Use integrated communication platforms like Slack or Microsoft Teams for instantaneous information sharing and status updates.

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Project management platforms, shared digital workspaces, and instant messaging solutions keep the entire team on the same page. Integration with existing systems and workflows enhances efficiency and ensures that no data is lost or overlooked at any stage of the RCA process.

3. Foster a Culture of Continuous Improvement

The most effective RCA isn't just a one-time exercise—it's an ongoing commitment. Cultivating an organizational culture that values continuous improvement can significantly simplify root cause discovery.

Employee Training and Empowerment

Equip employees with the skills and knowledge needed to conduct effective RCA. Regular training sessions and workshops can make methodologies like the Five Whys or Fishbone Diagram second nature.

- **Comprehensive Training Programs:**Implement regular training sessions covering the fundamentals of RCA methodologies, data analytics, and problem-solving techniques.
- **Skill Development Workshops:** Facilitate hands-on workshops where employees can practice RCA in simulated or real-world scenarios.
- **Empowerment Initiatives:** Encourage employees to take ownership of RCA activities, fostering a proactive problem-solving culture.

Empowering employees to ask the right questions and seek out improvements proactively builds a robust problem-solving culture. When employees are confident in their RCA abilities, the quality and speed of root cause discovery increase dramatically.

Document and Share Lessons Learned

Create a centralized repository where all RCA findings are documented and accessible. Sharing these insights across the organization prevents repetition of past mistakes and fosters a culture of transparency and learning.

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- **Central Knowledge Base:** Develop a centralized digital repository where RCA findings, corrective actions, and lessons learned are stored and easily accessible.
- **Systematic Documentation:**Standardize the documentation process to ensure consistency and comprehensiveness across all RCA activities.
- **Internal Sharing Programs:**Implement programs to regularly share key insights and improvements derived from RCA across the organization.

A well-maintained knowledge base serves as a valuable reference, enabling teams to build upon previous work and continuously refine their problem-solving techniques. It becomes a living document that evolves with the organization, offering historical context and practical insights for future RCA activities.

Encourage a Blame-Free Environment

A culture of continuous improvement thrives in a non-punitive environment. Encourage employees to report issues without fear of reprisal. When problems are seen as opportunities for improvement rather than failures, employees are more likely to engage in the RCA process actively and willingly.

- **Non-Punitive Policies:**Clearly communicate policies that encourage reporting and open discussions about issues without fear of blame or punishment.
- **Recognition Programs:**Acknowledge and reward employees who actively participate in RCA and contribute to meaningful improvements.
- **Open Communication Channels:** Foster open and transparent communication where employees feel safe sharing insights, ideas, and concerns.

Promote a mindset where failure is viewed as a learning opportunity. Recognize and celebrate instances where root cause identification has led to significant improvements. This positive reinforcement encourages a proactive approach to problem-solving and continuous learning.

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Root Cause Analysis is a powerful tool for diagnosing issues and implementing lasting solutions. By adopting structured methodologies, leveraging modern technology, and fostering a culture of continuous improvement, organizations can simplify and enhance the RCA process. Streamlining RCA not only improves problem-solving capabilities but also drives innovation, efficiency, and excellence across all operations.

Embrace these strategies, and you will transform challenges into opportunities for sustained growth and success. Root cause discovery doesn't have to be a daunting task. With the right approach, it can become a straightforward, insightful, and, ultimately, transformative process that propels your organization towards excellence. By investing in structured methodologies, advanced technologies such as Accrete AI's Nebula ITSM tool for automating RCA, and a culture that prioritizes continuous improvement, your organization will be well-equipped to navigate and resolve any challenges that arise, turning potential setbacks into opportunities for growth and development.

Working with Problem Owners and Stakeholders

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Types of Stakeholders and Their Roles

Explore the types of stakeholders and their roles. Learn about internal and external stakeholders and differences between primary and secondary stakeholders.

Ever wonder why some organizations thrive while others struggle to make progress? Often, it comes down to how well they understand and engage with stakeholders.

From the employees who bring visions to life to the local communities that business activities impact, stakeholders shape how organizations operate and evolve. By understanding who your stakeholders are and what they bring to the table, you can make smarter decisions, foster collaboration, and build relationships that drive real, lasting impact.

Let's explore the types of stakeholders and their roles.

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Understanding Stakeholders

Stakeholders are the people, groups, or entities who have an interest in a business and/or project outcomes. Some of the most common stakeholders include employees, customers, investors, and community groups.

Stakeholders generally fall into two main categories: primary and secondary.

- ***Primary stakeholders*** are those who experience a direct impact of a project or initiative.
- ***Secondary stakeholders*** have indirect involvement, often through social investments in an organization or through business relationships.

Stakeholders can also be internal or external.

- **Internal stakeholders** are people within your organization directly involved in your business processes and outcomes — company executives, for example.
- **External stakeholders** interact with your organization from the outside. They're interested in your company's performance but aren't involved in day-to-day operations. This stakeholder group may include people who oppose or support your work.

Types of Stakeholders: Examples and Definitions

Both internal and external stakeholders can be primary or secondary depending on their level of engagement and influence.

Here are some examples:

Primary Internal Stakeholders

- **Investors**: Investors provide your organisation's financial resources to grow and innovate. While they don't make day-to-day decisions, they do have a stake in the company's profitability, stability, and growth. Keeping investors informed on performance, risk management, and future goals builds their confidence and supports long-term collaboration.

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- **Owners**: Owners are often the founders and visionaries behind an organisation. Their influence on decision-making can vary, but their interest in the organisation's success is foundational.
- **Boards of directors**: The board oversees strategic decisions and ensures that the organisation adheres to its mission and long-term goals. They set policy and governance standards, influencing the organisation at a high level.
- **Company leadership**: Managers and executives implement strategy and set the tone for organisational culture. Their leadership affects everything from team morale to customer satisfaction.
- **Employees**: Employees are at the heart of your organisation's day-to-day operations. They bring your projects to life, help execute your strategy, and rely on the organisation for their livelihood. They also directly impact productivity, customer experience, and innovation. Because they both affect outcomes and feel the impact of outcomes, it's important to engage with employees to boost morale and build trust.

Primary External Stakeholders

- **Local communities**: Your business can have an economic, social, and environmental impact on your local community. Keeping local communities in the loop on company initiatives — especially when projects — impact the environment or public welfare — strengthens relationships and builds goodwill.
- **First Nations Groups**: For organisations operating on or near lands or waterways with cultural significance, First Nations groups have a stake in projects and the right to be involved. Engaging these groups with respect and understanding is crucial to honouring their rights and heritage. Open communication and transparent practices demonstrate a commitment to mutual respect and help your organisation operate responsibly within shared spaces.
- **Lenders**: Lenders provide essential project funding and expect that your organisation will be able to repay its loans. They have a stake in your financial security and your ability to manage risks. Transparent financial reporting and maintaining open lines of communication is a good way to nurture engagement with lenders.

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- **Regulators and governmental bodies**: Regulatory agencies and governmental bodies help create a fair, ethical, and safe environment for business operations. They monitor compliance with legal standards, environmental regulations, and safety protocols. When these groups are among your stakeholders, you may need to review your processes for maintaining and demonstrating compliance through effective reporting.

Secondary External Stakeholders

- **Customers**: While they don't participate directly in your internal processes, customers play a pivotal role by creating demand for your products or services. They seek quality, value, and reliability, and their satisfaction can impact your reputation. Asking for their feedback (and responding to it) can help foster loyalty and support business growth.

- **Suppliers and vendors**: These are the companies or individuals that provide the goods and services you need to operate. Although not part of your internal processes, suppliers benefit from your success and stability, which can lead to more business for them. A reliable partnership with suppliers can help streamline your operations, while any disruptions on their end can affect your ability to meet customer needs.
- **Media groups**: The media serves as a bridge between your organisation and the public, shaping opinions and conveying information about your activities, achievements, and challenges. Positive media coverage can enhance public perception, while negative reports may lead to reputational risks. Maintaining open, transparent communication with media groups can help foster a balanced view of your organisation.
- **Trade unions and industry bodies**: Especially relevant in industries with strong labour practices, trade unions advocate for employees' rights and working conditions. They play a watchdog role, ensuring fair practices within your organisation and industry. Engaging with trade unions can support positive relationships with your workforce, as they help address labour issues that affect employee satisfaction and productivity.
- **Interest groups:** Local and international Non Profit groups that have a particular focus or interest such as in the environment, Human Rights, mental health play an advisory as well as an oversight role to ensure your work is compliant with regulations and expectations.

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Difference between Shareholder and Stakeholder

Key Takeaways

- Shareholders are owners of a company, holding shares and focusing primarily on financial returns such as dividends and share price growth.
- Stakeholders include a wider group, such as employees, customers, suppliers, and communities affected by the company's activities.
- Shareholders have direct ownership rights, including voting on key decisions and receiving dividends.
- Stakeholders may not own shares, but they influence or are influenced by the company's operations and decisions.
- Companies must balance both interests to ensure long-term sustainability, responsible governance, and stable growth.

Shareholders own shares in a company and focus on financial returns, while stakeholders include anyone affected by the company's activities, such as employees, customers, and suppliers. Understanding the difference between shareholder and stakeholder helps explain how businesses balance investor interests with broader responsibilities.

Who Is a Shareholder?

The term shareholder refers to a person, institution or company that has ownership of share of a company's stocks or equity. Shareholder invests capital in exchange to own a portion, they have limited liability, meaning they are not personally responsible for the company's debts.

Types of Shareholders

The rights and benefits a shareholder have depends on the type of shares they hold and the size of their ownership stake. Below are the main types of shareholders.

1. **Common Shareholders –** These shareholders hold ordinary shares of the company, they have voting rights on major decisions such as electing directors. Dividends are paid to common shareholders after preferred stockholders.

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2. **Preferred Shareholders –** These investors receive dividends at a fixed rate by the company. During liquidation, preferred shareholders' assets are prioritized over common (equity) shareholders.
3. **Majority Shareholders –** Shareholders who own more than 50 percent of the shares and can influence company decisions.
4. **Minority Shareholders –** Investors who hold smaller stake and have limited control.
5. **Institutional Investors –** Companies like insurance companies, pension funds, and mutual funds.
6. **Retail investors –** Individuals who purchase shares for personal investment.
7. **Insider Shareholders –** Company's executives, directors, or employees who hold shares in the company.
8. **Promoters –** Founders or controlling groups, a specific category that is relevant to India's shareholding structure.

Key Differences between Shareholders and Stakeholders

To help clarify the role of a stakeholder and shareholders, consider the following table which covers the main differences between shareholder vs stakeholder.

Ownership	Own shares in the company and therefore hold equity ownership.	Do not necessarily own the company but are affected by its activities.
Primary Interest	Focus mainly on financial returns such as dividends and share price growth.	Focus on outcomes such as employment stability, product quality, or business continuity.
Influence	Can influence major decisions through voting rights in shareholder meetings.	Usually have indirect influence through business relationships, regulations, or public opinion.

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Financial Benefit	Receive direct financial gains if the company performs well.	Benefit indirectly through salaries, contracts, services, or economic opportunities.
Risk Exposure	Face financial loss if the company performs poorly or fails.	May face operational or economic consequences depending on their relationship with the company.
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Examples of Shareholders vs Stakeholders

The distinction between shareholders and stakeholders can be better understood by looking at real-life business scenarios. The following are some examples of how their interests and roles can vary depending on the context of a business.

Corporate Social Responsibility (CSR)

The initiatives of Corporate Social Responsibility (CSR) may also focus on the differences that exist between shareholders and stakeholders. Shareholders may favour the implementation of CSR because it may enhance the reputation of the business organization, profitability, and reduce the risk of government regulations.

The stakeholders of the business organization, such as the employees, local communities, and environmental groups, may be directly affected by the initiatives of the business organization because of the impact of the initiatives on the working environment, development of the local communities, and the environment.

During Bankruptcy

The difference that exists between shareholders and stakeholders may also be seen in the case of bankruptcy in a business organization. The shareholders of the business organization may have the right to the assets of the business organization after the debts of the business organization have been paid in full by the stakeholders of the business organization, such as the creditors, lenders, and employees.

For individuals who actively participate in financial markets, banking solutions such as the DBS Treasures wealth account can help manage investments and savings alongside other financial goals.

What Legal Rights Do Shareholders and Stakeholders Have?

Under the India's Companies Act,2013 shareholders have statutory rights like voting and dividends, while stakeholders have fewer direct legal rights but protections through governance norms. Stakeholders' rights emphasize ethical treatment over enforceable claims.

Shareholders Rights

As per the Companies Act, 2013 shareholders receive certain legal protections. Shareholders can vote on major corporate decisions such as appointing directors or approving mergers (Sections 47, 101-107). They can attend general meetings, receive dividends when declared, review company financial statements, and transfer or sell their shares (Sections 58, 92, 123, 129).

Shareholders may seek remedies against oppression or mismanagement, including filing class action suits before the National Company Law Tribunal (Sections 241, 245). Listed companies must also follow additional governance and disclosure rules issued by the Securities and Exchange Board of India (SEBI), including provisions such as electronic voting.

Stakeholder Rights

No direct voting/dividend rights; focus on transparency via Stakeholder Relationship Committees (Section 178) for large firms. Includes info access, fair treatment, and CSR impacts, but more moral/policy-based than enforceable. Employees get labour protections; customers/suppliers have contract remedies.

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Conclusion

Shareholders focus on ownership and financial returns, while stakeholders are affected by a company's broader decisions and operations. Understanding the difference helps explain how businesses balance profitability with responsibilities toward employees, customers, investors, and the community.

For a more comprehensive approach to managing your finances and investments, consider the DBS Treasures premium savings account, designed to support your evolving banking and wealth needs.

Stakeholders vs. Shareholders

Shareholders are a specific type of stakeholder. They own shares in a company and have a vested interest in the financial side of its success, like stock value and return on investment (ROI). Their main focus is on the company's profitability because that directly impacts their earnings.

Stakeholders in business, however, represent a much broader group. They include anyone interested in the company's performance, success, or impact. Beyond shareholders, this group can include employees, customers, suppliers, local communities, and even the environment.

While shareholders may be mainly concerned with profits, stakeholders have broader interests. For instance, employees care about job security and working conditions, customers look for quality and reliability, and communities focus on the organisation's environmental impact.

Successful organisations often balance the needs of both groups. They meet their shareholders' financial expectations while addressing the broader impacts on stakeholders. This approach not only boosts reputation but fosters stronger, long-lasting relationships with everyone invested in the organisation's journey.

Why Understanding Stakeholders Matters

Knowing your stakeholders and what they care about makes all the difference when planning and carrying out successful projects. By conducting a stakeholder analysis, you can prioritise, communicate, and make better decisions that will help you build strong relationships and maintain momentum.

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- **Prioritisation**: A stakeholder analysis helps you identify which stakeholders have the most interest, influence, or are the most impacted, allowing you to prioritise their needs and concerns. This ensures that you allocate resources and focus on areas that drive the most value and mitigate potential roadblocks early.
- **Communication**: By understanding their unique interests and influence, you can tailor communication strategies that resonate with each stakeholder group. This approach keeps everyone engaged and informed, through the channels or media each group prefers.
- **Understanding influence**: Analysing stakeholder positioning helps you understand direction of influence — that is, how stakeholders influence each other. For example, a company executive has downward influence over employee productivity and upward influence over investor satisfaction.

When stakeholders feel that their input is valued, they are more likely to support the project actively through resources, advocacy, or direct involvement. This buy-in creates a collaborative environment that enhances project momentum, increases commitment, and ultimately leads to smoother project execution and long-term success.

How to Identify Types of Stakeholders and Their Roles

The stakeholder identification process involves four steps:

1. **Identify all stakeholders**: Make a comprehensive list of all parties who influence or could be impacted by outcomes.
2. **Determine criteria**: Prioritise stakeholders by identifying factors such as influence, interest, and impact.
3. **Analyse stakeholders**: Rate each stakeholder based on chosen criteria to assess their engagement needs.
4. **Categorise and rank**: Rank stakeholders in order of priority to allocate resources effectively.

Once you've gone through these steps, you can visually organise your stakeholders using stakeholder software to map stakeholder qualities and relationships.

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Stakeholder mapping is a valuable tool for categorising stakeholders based on influence, interest, and impact. It lets you quickly identify which groups require more frequent engagement or monitoring. Simply Stakeholders' mapping tools streamline this process, helping organisations allocate resources to the most critical relationships and ensure that all relevant voices are heard.

Streamline Your Stakeholder Management with Simply Stakeholders

Keeping track of stakeholder roles and relationships can be a full-time job. With the right tools, you can easily identify the types of stakeholders and their roles, track stakeholder engagement, and build lasting, meaningful connections.

Simply Stakeholders brings complete visibility into managing stakeholder relationships. Book a demo — and experience a better way to engage with stakeholders.

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